2884

Executive Order.

By Section 14 of the Act of Congress of August 10, 1917, entitled "An Act To provide further for the national security and defense by encouraging the production, conserving the supply, and controlling the distribution of food products and fuel", it is provided that whenever the President shall find that an emergency exists requiring stimulation of the production of wheat, and that it is essential that the producers of wheat produced within the United States shall have the benefits of the guarantee provided for in that Section, he shall determine and fix and give public notice of, a guaranteed price for wheat; and that thereupon the Government of the United States guarantees to every producer of wheat that he shall receive under conditions named, a price for wheat not less than such guaranteed price. Under this provision an Executive Proclamation was issued on February 21, 1918, making the necessary findings and fixing guaranteed prices for wheat when delivered at certain specified primary markets.

It is further provided that for the purpose of making any guaranteed price effective under that section, or whenever he deems it essential in order to protect the Government of the United States against material enhancement of its liabilities arising out of any guaranty under this section, the President may in his discretion purchase any wheat for which a guaranteed price shall be fixed under this section, and may hold, transport, or store it, or sell, dispose of, and deliver the same to any citizen of the United States or to any Government engaged in war with any country with which the Government of the United States is or may be at war or to use the same as supplies for any department or agency of the Government of the United States.

It is further provided by Section 11 of said Act of Congress, that the President may from time to time purchase, store, provide storage facilities for, and sell for cash at reasonable prices, wheat, flour, meal, beans and potatoes; and by Section 2 that in carrying out the purposes of such Act, the President may create or use any agency or agencies, and utilize any department or agency of the Government.

Acting under the authority of the foregoing provisions, I hereby designate the Food Administration Grain Corporation, a corporation created in accordance with the provisions of said Act of Congress and Executive Order dated August 14, 1917, as the agency of the United States to carry out and make effective, subject to the control and direction of the United States Food Administrator, the provisions of the guarantee hereinbefore referred to, and to purchase, hold, transport, store, provide storage facilities for, sell, dispose of, and deliver wheat as provided in Sections 11 and 14 of said Act. I further direct that in order to make said guarantee effective and maintain the price of wheat to the grower at not less than the guaranteed basis the said Corporation shall offer and stand

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ready to purchase, and shall purchase to the full extent of its ability and available funds, all wheat tendered to it by any producer thereof at any primary market named in said Proclamation of February 21, 1918, at the guaranteed price named therein for such market, provided that with the approval of the United States Food Administrator the said Corporation may pay any higher prices than the guaranteed basis for any grade of wheat in any given market, and may extend its offer to purchase to other holders of wheat on such conditions as it sees fit.

I further direct that for such purpose the capital stock of such Corporation be increased to 1,500,000 shares of the par value of $100.00 each; that the United States purchase from time to time at par, so much of the additional capital stock as may be required to supply the necessary capital to enable said Corporation to carry out the provisions of this order, and that none of said additional capital stock shall be sold to any person other than the United States. The United States Food Administrator is hereby authorized and directed to subscribe for and purchase all or any part of said additional capital stock in the name of and for the use and benefit of the United States, and to pay for the same out of the appropriation of $150,000,000 authorized by Section 19 of the Act of Congress hereinbefore entitled. I further authorize said Corporation to borrow such sums of money, upon the security of wheat or flour owned by it, as may be required to carry out the provisions of this order.

WOODROW WILSON

THE WHITE HOUSE,
21 June, 1918.

[No. 2884.]